



TM Policy & Procedures : Corruption & Conflicts of Interest

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1. Legal Requirements

Any employee soliciting or accepting an advantage in connection with his/her work without permission of the employer shall be guilty of an offence under the Prevention of Bribery Ordinance (the “Ordinance”). The term “advantage” as defined in the Ordinance includes money, gift, loan, fee, reward, employment, contract, service and favour. The one who offers the advantage may also commit an offence under the Ordinance.

2. Corruption

2.1 Soliciting Advantages

It is the Group’s policy that no employee may solicit any advantage from fellow employees or any persons having business dealings with the Group (e.g. clients, suppliers, contractors, vendors or government officials). Department Heads (“DHs”) are required to ensure that colleagues of their departments understand and adhere to the related corruption policy of our business partners.

2.2 Accepting Advantages

2.2.1 In general, regardless of value of the advantage, employees should decline the offer.

2.2.2 Where an advantage is voluntarily given, employee could consider accepting **only if** the following pre-conditions are all fulfilled:

- the acceptance will not affect the recipient’s performance;
- the recipient will not feel obliged to do something in return for the offeror;
- the recipient is able to openly discuss the acceptance without reservations; and
- the advantage is only an advertising or promotional gift of a nominal value, or one given during festival or special occasion, refusal of which



could be seen as unsociable or impolite.

- 2.2.3 Anything of value includes but not limited to payment or gifts of any kind is subject to a maximum limit of HK\$200 in value. For one valued higher than HK\$200, the employee should complete the “Report on Personal Benefits Received (收受個人利益申報表)” and pass DH. DH will make recommendation to Talent Management Department (Group) (“TM”) for approval. The duly signed report should be kept by TM for record. In any case, expensive gifts inconsistent with normal business practice should be declined.
- 2.2.4 The advantage, if accepted, should be disposed in a proper and careful manner, regardless of the benefit’s value. Immediate consumption shared by talents should be the first priority.
- 2.2.5 If advantages, regardless of the benefit’s value, are offered frequently to the same employee by the same person or organization having business dealings with the Group (e.g. clients, suppliers, contractors, vendors or government officials), the employee should report to the respective DH for proper handling. The DH should provide detailed justification to TM if acceptance of such advantage is proposed.

2.3 Offering Advantages

- 2.3.1 Under no circumstances should employees offer advantages to any person or organization for the purpose of influencing such person or organization in any business dealings. Written approval should be obtained from the respective DH when an advantage is given in the conduct of the Group’s business. It is also illegal to offer advantages to public servants to influence any contract, tender or auction in relation to the public body concerned.
- 2.3.2 Relevant documents with regard to advantages, with the exclusion of advertising or promotional gift of a nominal value, offered to others should be kept by TM for record.



3. Conflicts of Interest

3.1 Definition

3.1.1 A conflict of interest situation arises when the private interest of an employee competes or conflicts with the interest of the Group. Private interest includes both the financial and personal interests of employees, family members, relatives and domestic partners.

3.1.2 Family members, by definition, refer to spouse, children, sons and daughters-in-law, grandchildren, stepchildren, parents, siblings, spouses of siblings, grandparents, stepparents of the employee or of the spouse, any other relatives who reside in the same household, and shall include adoptive relationship.

3.1.3 A conflict of interest situation may arise if any employee intends to start business relationship for the Group with a prior acquaintance. Declaration is required before starting any business contact.

3.2 Declaration

3.2.1 Employees should avoid any situation which may lead to an actual or perceived conflict of interest. Employees at Point 5x or above, those who are engaged in supplier/merchant/other business contract and terms negotiation or those who are engaged in decision-making of procurement of supplies and services of the Group should complete the “Declaration on Conflicts of Interest (利益衝突申報書)” upon commencement of employment, annually thereafter and whenever there is actual or perceived conflict of interest arises.

3.2.2 Other employees have to declare upon employment and when an actual or perceived conflict of interest arises.

3.2.3 Failure to do so may give rise to criticism of favouritism, abuse of authority or even allegations of corruption.



3.3 Approval

3.3.1 Upon receiving the declaration of actual or perceived conflicts of interest made by employees, recommendation will be made by DH and be approved by Head of TM in consideration of:

- nature of circumstances leading to the conflict of interest
- possibility of an occurrence of a perceived conflict of interest
- significance of impact of the conflict
- occurrence of supervisory relationship

Different approval levels are applied according to different scenarios as follows:

Approvals From	Conflict(s) Arose with	Conflict(s) Arose in Same Dept with		
	Employee in Different Department / External Party	Employee at Other Levels	Employee at Point 5x or above	
			without Supervisory Relationship	with Supervisory Relationship
DH	√	√	√	√
Head of TM	√	√	√	√
Corresponding Executive Director		√	√	√
Non-corresponding Executive Director			√	
Chairman				√

If the declaring employee is DH or Executive Director, approval from upper hierarchy is required.

3.3.2 The decisions may include but not limited to:

- authorizing the employee to continue in his/ her current duties
- removing the employee from a particular transaction or a position of decision-making authority
- reorganizing the duties of the employee so as to avoid the conflict of interest



- placing additional control processes to ensure the impartiality of the employee in the performance of his/her duties
- discontinuing recruitment and selection process
- taking other more serious actions, such as termination of current employment

3.3.3 TM will inform concerned DH if the declaration on conflicts of interest is not approved.

3.4 Outside Employment / Investments

Employees should refrain from engaging in outside employment, business, investments or activities that might conflict with the Group's interests. If employees wish to take concurrent employment, either on part-time, regular or consulting basis, they must seek prior written approval from Head of TM before accepting the employment.

3.5 Entertainment

3.5.1 As defined in the Ordinance, "entertainment" refers to food or drink provided for immediate consumption on the occasion, and of any other entertainment provided at the same time. Although entertainment is an acceptable form of business and social behaviour, employees must not accept lavish or frequent entertainment from persons with whom the Group has business dealings (e.g. clients, suppliers, contractors, vendors or government officials) to avoid placing themselves in a position of obligation to the offeror.

3.5.2 Employees should be particularly vigilant to entertainment offered to them outside Hong Kong, and turn down invitations from persons or organisations with whom the Group has business dealings, to meals or entertainments that are excessive or frequent in nature. Any free trips or travelling expenses are not included in the definition of "entertainment", but they are regarded as "advantages" under the Ordinance. Without prior consent from the Group, acceptance of these advantages is strictly prohibited.



3.6 Loans

Employees, their family members, relatives and domestic partner should not grant or guarantee a loan to, or accept a loan from or through the assistance of any individual or organisation having business dealings with the Group. There is, however, no restriction on normal bank lending.

3.7 Gambling

Employees are advised not to engage in frequent and excessive gambling of any kind, including games of mahjong, with persons having business dealings with the Group as well as among colleagues, especially with subordinates. In social games with clients, suppliers, contractors, vendors or government officials, employees must exercise judgment to withdraw from any high stake games. Gambling of any form is strictly forbidden in the Group's premises at any time or during working hours in any place.

4. Disciplinary and Corrective Action

If there is a reasonable cause to believe that an employee has failed to disclose his/her actual or perceived conflicts of interest, further investigation will be made, if necessary, followed by appropriate disciplinary and corrective action, including summary dismissal.

The Group reserves its rights, from time to time, to review, modify or amend the content of the policy, subject to changes as deemed necessary.

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